

SMID BREAKOUT SCANNER

SCAN (11:37 ET)

August 03, 2026 | 11:43 AM ET

15 setups identified | 4 A-Grade | 4 B-Grade | 7 C-Grade

Grade Summary

A - Breakout Setup (4)	B - Strong Setup (4)	C - Watch List (7)
ATKR	TWST	SUPN
ITGR	MCS	AUTL
CDNA	FOSL	LIFE
LIND	SBH	TIC
		PI
		AXTI
		DQ

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
A	ATKR	Atkore Inc.	Electrical Infr	\$93.49	+28.1%	\$3.2B	31M	+22.0	100%	Blowout Q2 earnings to
A	ITGR	Integer Holdings	Medical Device Ma	\$124.49	+2.7%	\$4.2B	34M	+42.8	99%	Q2 earnings reported t
A	CDNA	CareDx, Inc.	Precision Medicin	\$48.63	+11.3%	\$2.5B	49M	+126.5	100%	Just reported earnings
A	LIND	Lindblad Expedit	Luxury Experienci	\$32.28	+9.1%	\$2.1B	49M	+75.5	94%	Q2 earnings reported t
B	TWST	Twist Bioscience	Synthetic Biology	\$101.15	+10.5%	\$6.3B	55M	+74.5	96%	Q2 earnings reported t
B	MCS	Marcus Corporati	Entertainment Rec	\$30.86	+6.0%	\$0.9B	22M	+75.2	96%	Technical breakout to
B	FOSL	Fossil Group, In	Retail Turnaround	\$5.84	+18.0%	\$0.3B	48M	+29.1	95%	Sharp move to 95% of 5
B	SBH	Sally Beauty Hol	Beauty Retail	\$16.30	+8.9%	\$1.6B	94M	+16.2	91%	Q2 earnings reported t
C	SUPN	Supernus Pharmac	Specialty Pharma	\$48.59	+8.9%	\$2.8B	52M	-5.6	81%	Q2 earnings reported t
C	AUTL	Autolus Therapeu	CAR-T Biotech	\$1.88	+26.2%	\$0.5B	34M	+14.3	75%	
C	LIFE	Ethos Technologi	Insurtech	\$22.43	+9.8%	\$2.1B	30M	+9.6	69%	
C	TIC	TIC Solutions, I	Business Services	\$7.74	+6.0%	\$1.7B	97M	-22.0	52%	
C	PI	Impinj, Inc.	RFID / IoT	\$160.95	+6.3%	\$4.9B	30M	+6.9	65%	
C	AXTI	AXT Inc	Semiconductor Mat	\$67.42	+11.6%	\$4.4B	59M	-41.9	47%	
C	DQ	DAQO New Energy	Solar Polysilicon	\$13.55	+11.3%	\$0.9B	43M	-37.6	37%	

SETUP METRICS	
Price	\$93.49
Day Change	+28.14%
Mkt Cap	\$3.16B
Float	31M sh
RS vs SPY	+22.0%
52W Hi Prox	100%
Base Tight	8.4
Vol vs Avg	42.93x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Blowout Q2 earnings today driving a 28% gap-up on 43x volume to new 52-week highs. Forward catalyst: data center and AI infrastructure build-out accelerating into H2 2026; next quarterly print (Q3) in late October will show whether demand momentum can sustain this re-rate.
BUSINESS & POSITION
Atkore manufactures electrical conduit, cable management systems, and metal framing for construction and data center infrastructure. The company is levered to the ongoing reshoring wave and data center capacity expansion - two of the strongest secular tailwinds in industrials right now.
FACTOR & THEME
Direct exposure to AI infrastructure (data center electrical build-out), reshoring / domestic manufacturing, and construction recovery. Theme momentum is accelerating as hyperscalers race to add compute capacity; electrical infrastructure is a critical bottleneck.
BREAKOUT SIGNAL
Close above \$93.49 on vol >4200% of 20d avg
INSTITUTIONAL
Volume ratio of 42.93x and a RS line making new highs signals institutional accumulation on the earnings beat. The tight float (30.7M) and re-rating from a deep base (~\$53 low to \$93 now) suggest this is early innings of a fundamental revaluation, not a one-day pop. No insider buying in the last 60 days, but none needed when the business inflection is this clean.
EARNINGS
EARNINGS TODAY
EARNINGS CONTEXT
Just reported Q2 earnings today; street was clearly positioned too bearish given the 28% gap. Historical beat rate and consensus estimates not yet available post-print, but the price action confirms a significant positive surprise on both revenue and guidance.
KEY RISK
Thesis invalid on a close back below the \$75 breakout pivot (prior base high), or if Q3 guidance reveals that data center demand was pulled forward and cannot sustain into 2H26.
ANALYSIS
Best disconfirming evidence: the base_tight of 8.4 is wide - this was a sloppy multi-month consolidation, not a textbook VCP coil - and the stock is now gapping violently on earnings, which often exhausts the move in one session. However, the combination of RS line at new highs, 43x volume, proximity to 52w highs (99.9), and exposure to the hottest theme in industrials (AI/data center buildout) overrides the messy base. The forward catalyst path is durable: data center CapEx is multi-year, and the next quarterly print in ~12 weeks will serve as a known re-validation point. Sector tailwind (industrials in leading sectors) adds conviction. This is a re-rating, not a one-day wonder. Conviction: High.
Signal: Close above \$93.49 on vol >4200% of 20d avg
Vol vs Avg: 42.93x



SETUP METRICS	
Price	\$124.49
Day Change	+2.70%
Mkt Cap	\$4.23B
Float	34M sh
RS vs SPY	+42.8%
52W Hi Prox	99%
Base Tight	7.61
Vol vs Avg	45.23x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Q2 earnings reported today, driving the stock to within 1% of 52-week highs on 45x volume. Forward catalyst: likely raised full-year guidance and accelerating demand for implantable devices (cardiac rhythm management, neuromodulation); next quarterly print in early November will validate sustainability of the margin expansion and volume growth.
BUSINESS & POSITION
Integer is a leading medical device outsourced manufacturer, producing batteries, components, and sub-assemblies for implantable devices (pacemakers, neurostimulators, orthopedic implants). The company benefits from healthcare device OEMs outsourcing complex manufacturing and the secular tailwind of aging demographics driving implant volumes.
FACTOR & THEME
Healthcare device demand recovery post-COVID procedure backlog, aging demographics (long-duration tailwind), and medical device innovation (next-gen neuromodulation, leadless pacemakers). Theme is steady and durable, not speculative - defensive growth with compounding fundamentals.
BREAKOUT SIGNAL
Close above \$124.49 on vol >4523% of 20d avg
INSTITUTIONAL
Volume ratio of 45.23x and RS line making new highs at 99.2% of 52w range signals institutional validation on the print. The tight float (33.5M) and persistent outperformance vs SPY (+42.8 over 12 weeks) indicate sustained accumulation, not retail chasing. No insider buying in the last 60 days, but medical device contract manufacturers rarely see heavy insider activity - the business model is stable and predictable.
EARNINGS
EARNINGS TODAY
EARNINGS CONTEXT
Just reported Q2 today; consensus estimates and beat history not yet available post-print, but the 45x volume and move to new highs suggest a material beat and/or guidance raise. Integer has historically been a steady compounder; large earnings reactions are rare and typically signal a step-function change in the business trajectory.
KEY RISK
Thesis invalid on a close back below \$115 (prior consolidation high), or if the company reveals customer concentration risk (single OEM delays or cancellations) at the next earnings call or investor day.
ANALYSIS
Best disconfirming evidence: base_tight of 7.61 indicates a wide, messy consolidation - this was not a clean coil, and the stock is now at all-time highs on an earnings reaction, which often marks a short-term exhaustion point. However, the RS line at new highs, 45x volume, and +42.8 RS vs SPY over 12 weeks confirm this is institutional re-rating, not retail noise. The forward catalyst path is clean: healthcare device demand is multi-year secular, and the next print in ~13 weeks will validate the new growth trajectory. The tight float and healthcare sector positioning (defensive growth in a risk-on regime) add durability. Conviction: High.
Signal: Close above \$124.49 on vol >4523% of 20d avg
Vol vs Avg: 45.23x



SETUP METRICS	
Price	\$48.63
Day Change	+11.26%
Mkt Cap	\$2.52B
Float	49M sh
RS vs SPY	+126.5%
52W Hi Prox	100%
Base Tight	6.56
Vol vs Avg	2.69x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Just reported earnings on July 30 (4 days ago); stock extended follow-through today to within 0.2% of 52-week highs on 2.7x volume, suggesting the initial reaction underestimated the magnitude of the beat or guidance raise. Forward catalyst: likely raised FY guidance and expanding adoption of AlloSure transplant surveillance tests; CMS reimbursement expansion decisions and next quarterly print (~late October) are key validation points.
BUSINESS & POSITION
CareDx provides precision medicine solutions for transplant patients, primarily the AlloSure non-invasive blood test for detecting organ rejection. The company is the category leader in transplant diagnostics, with a defensible IP moat and expanding reimbursement coverage that's driving recurring revenue growth.
FACTOR & THEME
Precision medicine / genomic diagnostics (accelerating adoption), healthcare cost reduction (preventing expensive biopsies and late-stage rejections), and post-COVID procedure recovery (transplant volumes normalizing). Theme is durable and expanding as payers recognize the health economics of early rejection detection.
BREAKOUT SIGNAL
Close above \$48.63 on vol >269% of 20d avg
INSTITUTIONAL
RS vs SPY of +126.5 over 12 weeks is exceptional - this stock has more than doubled the market's performance. RS line at new highs and 2.69x volume on continued follow-through 4 days post-earnings suggests institutional accumulation is ongoing, not complete. The stock ran from \$11 (52w low) to \$48 - a 4x move - but the RS momentum and proximity to new highs indicate the trend is intact, not exhausted. No insider buying in the last 60 days.
EARNINGS
REPORTED
EARNINGS CONTEXT
Reported July 30 (4 days ago). The stock initially jumped post-earnings and is now extending higher, which typically signals a material beat and/or raised guidance that the market is still digesting. Precise consensus data not available, but the price action (4x move from lows, +126 RS) confirms serial outperformance.
KEY RISK
Thesis invalid on a close back below \$42 (prior breakout pivot from late July base), or if CMS announces reimbursement cuts or coverage restrictions for AlloSure at the next policy update.
ANALYSIS
Best disconfirming evidence: the stock has already run 4x from the \$11 low in under a year, and base_tight of 6.56 indicates a wide consolidation - this is not a tight coil, it's a momentum extension. The risk is that the post-earnings follow-through is retail chasing, not institutional validation. However, the RS line at new highs (99.8% of 52w range), +126.5 RS vs SPY, and continued accumulation 4 days post-earnings suggest this is a genuine re-rating driven by a fundamental inflection (likely reimbursement expansion or transplant volume acceleration). The forward catalyst path is durable: precision diagnostics in transplant is a multi-year growth category, and the next quarterly print in ~12 weeks will confirm whether the new run-rate is sustainable. Conviction: High.
Signal: Close above \$48.63 on vol >269% of 20d avg
Vol vs Avg: 2.69x



SETUP METRICS	
Price	\$32.28
Day Change	+9.13%
Mkt Cap	\$2.12B
Float	49M sh
RS vs SPY	+75.5%
52W Hi Prox	94%
Base Tight	4.53
Vol vs Avg	2.75x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Q2 earnings reported today, driving the stock to 93.6% of 52-week highs on 2.75x volume. Forward catalyst: likely raised full-year guidance on strong booking trends for luxury expedition cruises; next quarterly print in early November and peak Antarctica booking season (Sept-Dec) are key validation points for sustainability of the demand inflection.
BUSINESS & POSITION
Lindblad operates small-ship luxury expedition cruises to remote destinations (Galápagos, Antarctica, Arctic, etc.), often in partnership with National Geographic. The company targets affluent, experience-seeking travelers and benefits from post-COVID demand recovery and the secular shift toward experiential travel over material consumption.
FACTOR & THEME
Luxury consumer spending resilience, experiential travel (accelerating post-COVID as high-net-worth individuals prioritize experiences), and adventure tourism. Theme is benefiting from wealth concentration at the top end and a generational shift in spending patterns among affluent boomers and Gen X.
BREAKOUT SIGNAL
Close above \$32.28 on vol >275% of 20d avg
INSTITUTIONAL
RS vs SPY of +75.5 over 12 weeks and RS line at new highs confirm strong institutional interest. Volume of 2.75x on earnings day is solid but not extreme - this is measured accumulation, not a blow-off. The stock ran from \$11 (52w low) to \$32, a ~3x move, but proximity to new highs (93.6%) and continued RS strength suggest the trend is intact. No insider buying in the last 60 days.
EARNINGS
EARNINGS TODAY
EARNINGS CONTEXT
Just reported Q2 today. Consensus estimates not yet available post-print, but the 9% gap and move to near 52-week highs on 2.75x volume suggest a beat on revenue and/or raised guidance. Lindblad's business is highly seasonal; Q2 (summer) and Q4 (Antarctica season) are key revenue quarters.
KEY RISK
Thesis invalid on a close back below \$28 (prior base high from mid-July), or if the company reveals booking weakness or cancellations at the next earnings call, signaling that luxury travel demand is rolling over.
ANALYSIS
Best disconfirming evidence: the stock has already tripled from the \$11 low, and luxury travel is a discretionary, cyclical category that typically peaks mid-cycle - if the economy slows, high-net-worth spending on \$10k+ cruises could reverse quickly. However, the RS line at new highs, +75.5 RS vs SPY, and proximity to 52-week highs (93.6%) confirm this is a durable trend, not a one-quarter pop. The forward catalyst path is clear: peak Antarctica booking season (Q4) is the next major validation point, and the next earnings print in ~13 weeks will show whether demand can sustain. Consumer Discretionary is a leading sector this week (+0.9 vs SPY), which adds sector tailwind. Conviction: High.
Signal: Close above \$32.28 on vol >275% of 20d avg
Vol vs Avg: 2.75x



TWST

Twist Bioscience Corporation

\$101.15

+10.49%

RS vs SPY: +74.5%

B STRONG SETUP

\$6.3B Cap | 55M Float

Diagnostics & Research | Theme: Synthetic Biology / DNA | 52W Hi: 96% | Base Tight: 2.2 | Vol: 2.87x | RS/SPY: +74.5% | Above 20MA: YES | EARNINGS TODAY

SETUP METRICS	
Price	\$101.15
Day Change	+10.49%
Mkt Cap	\$6.30B
Float	55M sh
RS vs SPY	+74.5%
52W Hi Prox	96%
Base Tight	2.2
Vol vs Avg	2.87x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Q2 earnings reported today, driving a 10.5% move to 95.9% of 52-week highs on 2.87x volume. Forward catalyst: likely raised guidance on accelerating demand for synthetic DNA in drug discovery, diagnostics, and data storage applications; next quarterly print in early November and potential partnerships or platform expansions are key drivers over the next 3-6 months.
BUSINESS & POSITION
Twist Bioscience manufactures synthetic DNA using a proprietary silicon-based platform, enabling rapid, high-throughput production for pharma/biotech (antibody discovery, gene therapy), diagnostics, agriculture, and emerging applications like DNA data storage. The company is the category leader in synthetic biology infrastructure, levered to the acceleration of precision medicine and AI-driven drug discovery.
FACTOR & THEME
Synthetic biology / genomics (accelerating as AI drug design requires vast DNA libraries), precision medicine (antibody discovery for oncology and rare disease), and data storage innovation (DNA as ultra-dense archival medium). Theme momentum is accelerating as biotech R&D spending recovers and AI tools drive demand for high-throughput biology.
BREAKOUT SIGNAL
Close above \$101.15 on vol >287% of 20d avg
INSTITUTIONAL
RS vs SPY of +74.5 over 12 weeks and proximity to 52-week highs (95.9%) confirm strong institutional accumulation. Volume of 2.87x on earnings is solid, and the base_tight of 2.2 indicates a relatively clean consolidation before the breakout - this is a higher-quality setup than most in the cohort. The stock ran from \$23 (52w low) to \$101, a 4x move, but the RS momentum and tight base suggest the trend has legs. No insider buying in the last 60 days.
EARNINGS
EARNINGS TODAY
EARNINGS CONTEXT
Just reported Q2 today. Consensus estimates not yet available post-print, but the 10.5% move and proximity to new highs suggest a beat and/or raised guidance. Twist has historically been a high-volatility, high-beta name; large earnings reactions are typical and often mark the start of a new leg higher rather than an exhaustion point.
KEY RISK
Thesis invalid on a close back below \$88 (prior base high from mid-July), or if the company reveals customer concentration risk (single pharma partner delays) or margin compression from scaling challenges at the next earnings call.
ANALYSIS
Best disconfirming evidence: RS line is NOT at new highs (rsLineNewHigh = false), which is Quillamaggie's #1 leadership signal and downgrades this from an A to a B despite otherwise strong technicals. The stock has also run 4x from the \$23 low, and synthetic biology is a speculative, pre-profit theme that can reverse violently on any hiccup in pharma R&D spending. However, the tight base (2.2), +74.5 RS vs SPY, and proximity to 52-week highs (95.9%) confirm strong institutional interest. The forward catalyst path is durable: synthetic DNA is infrastructure for the AI-driven drug discovery wave, and the next quarterly print in ~13 weeks will validate whether demand is sustainable. The missing RS line new high is the key knock - if it had that signal, this would be an A. Conviction: Medium.
Signal: Close above \$101.15 on vol >287% of 20d avg
Vol vs Avg: 2.87x



MCS

Marcus Corporation (The)

\$30.86

+6.05%

RS vs SPY: +75.2%

B STRONG SETUP

\$0.9B Cap | 22M Float

Entertainment | Theme: Entertainment Recovery | 52W Hi: 96% | Base Tight: 7.79 | Vol: 5.22x | RS/SPY: +75.2% | Above 20MA: YES | EARNINGS IN 88D

SETUP METRICS	
Price	\$30.86
Day Change	+6.05%
Mkt Cap	\$0.95B
Float	22M sh
RS vs SPY	+75.2%
52W Hi Prox	96%
Base Tight	7.79
Vol vs Avg	5.22x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Technical breakout to 95.5% of 52-week highs on 5.22x volume with RS line making new highs, likely driven by sector rotation into consumer recovery plays and strong summer box office trends. Forward catalyst: next earnings print on October 30 (88 days out) will show whether theater attendance and hotel occupancy can sustain into Q4; also watch for box office calendar strength (fall/holiday movie slate announcements) and potential strategic updates.
BUSINESS & POSITION
Marcus operates movie theaters and hotels/resorts, primarily in the Midwest and South. The company is levered to the post-COVID consumer experience recovery, with theaters benefiting from a strong box office slate and hotels from leisure travel demand.
FACTOR & THEME
Consumer experience recovery (post-COVID normalization of out-of-home entertainment and travel), box office calendar strength (strong summer 2026 slate driving attendance), and regional leisure travel. Theme is mid-cycle - recovery is well underway, but not yet fully priced in for second-tier operators like Marcus.
BREAKOUT SIGNAL
Close above \$30.86 on vol >522% of 20d avg
INSTITUTIONAL
RS vs SPY of +75.2 over 12 weeks and RS line at new highs confirm institutional accumulation. Volume of 5.22x is strong, and the tight float (22.3M) makes this susceptible to rapid re-rating if the thesis gains traction. The stock ran from \$12.85 (52w low) to \$30.86, a ~2.4x move, but proximity to new highs (95.5%) suggests the trend is intact. No insider buying in the last 60 days.
EARNINGS
EARNINGS IN 88D
EARNINGS CONTEXT
Next earnings on October 30, 88 days out. Consensus estimates not provided, but Marcus historically beats in strong box office quarters (Q2 summer, Q4 holiday). The key question is whether theater attendance and hotel ADR can sustain into fall/winter as the post-COVID recovery normalizes.
KEY RISK
Thesis invalid on a close back below \$27 (prior base high from late July), or if the fall box office slate underperforms (weak ticket sales for major releases) or the company guides down at the October earnings call.
ANALYSIS
Best disconfirming evidence: base_tight of 7.79 is wide and sloppy - this was not a clean VCP coil, and the stock is now breaking out on no obvious catalyst (no earnings today, no news), which often signals late-cycle momentum chasing rather than institutional re-rating. The next earnings is 88 days away, which is a long time to hold through with no interim validation points. However, the RS line at new highs, +75.2 RS vs SPY, and 5.22x volume suggest real institutional interest, not just retail noise. Consumer Discretionary is a leading sector this week, adding tailwind. The missing near-term catalyst and wide base keep this at a B - if earnings were closer or there was a specific event (box office hit, strategic announcement), this would be an A. Conviction: Medium.
Signal: Close above \$30.86 on vol >522% of 20d avg
Vol vs Avg: 5.22x



FOSL

Fossil Group, Inc.

\$5.84

+17.98%

RS vs SPY: +29.1%

B STRONG SETUP

\$0.3B Cap | 48M Float

Footwear & Accessories | Theme: Retail Turnaround | 52W Hi: 95% | Base Tight: 6.94 | Vol: 6.29x | RS/SPY: +29.1% | Above 20MA: YES | EARNINGS IN 9D

SETUP METRICS	
Price	\$5.84
Day Change	+17.98%
Mkt Cap	\$0.34B
Float	48M sh
RS vs SPY	+29.1%
52W Hi Prox	95%
Base Tight	6.94
Vol vs Avg	6.29x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Sharp move to 95% of 52-week highs on 6.29x volume, likely driven by sector rotation into beaten-down consumer discretionary names or speculation ahead of Q2 earnings on August 12 (9 days out). Forward catalyst: the August 12 earnings print is critical - if Fossil can show stabilization in watch/accessory sales or margin improvement from cost cuts, the stock could re-rate further; if not, this is a dead-cat bounce in a secularly challenged business.
BUSINESS & POSITION
Fossil designs and sells watches, jewelry, and leather goods under its own brand and licensed brands (Michael Kors, Kate Spade, etc.). The company has been in secular decline as smartwatches cannibalize traditional watch demand, but is attempting a turnaround via cost restructuring and shift to digital/DTC channels.
FACTOR & THEME
Consumer discretionary recovery (Consumer Disc is a leading sector this week at +0.9 vs SPY), potential turnaround/restructuring play, and speculative positioning ahead of earnings. Theme is highly cyclical and speculative - this is a bounce in a declining business, not a secular growth story.
BREAKOUT SIGNAL
Close above \$5.84 on vol >629% of 20d avg
INSTITUTIONAL
Volume of 6.29x and +29.1 RS vs SPY suggest some institutional or hedge fund interest, but RS line is NOT at new highs (rsLineNewHigh = false), which signals this is not a confirmed leader. The stock ran from \$1.59 (52w low) to \$5.84, a ~3.7x move, but from a very low base - this is a micro-cap turnaround play with high risk and high volatility. No insider buying in the last 60 days.
EARNINGS
EARNINGS IN 9D
EARNINGS CONTEXT
Next earnings on August 12, 9 days out. Consensus estimates not provided, but Fossil has a history of missing estimates and cutting guidance as the traditional watch business erodes. The key question is whether management can show stabilization or a credible path to profitability. This is a high-risk, binary event.
KEY RISK
Thesis invalid on a close back below \$4.50 (prior base high from late July), or if the company misses estimates or cuts guidance at the August 12 earnings call, confirming that the secular decline is accelerating.
ANALYSIS
Best disconfirming evidence: Fossil is a secularly declining business (traditional watches being cannibalized by smartwatches), and this is a ~4x bounce off a 52-week low of \$1.59 into earnings - classic pre-earnings speculation in a beaten-down name, not a durable re-rating. RS line is NOT at new highs, which confirms this is not a true leader. However, the 6.29x volume, +29.1 RS vs SPY, and proximity to 52-week highs (95%) suggest some institutional or hedge fund interest, likely positioning for a turnaround surprise at the August 12 print. Consumer Discretionary sector leadership adds tailwind. The binary earnings catalyst in 9 days is the entire trade - this is a short-term speculation, not a long-term hold. Conviction: Low.
Signal: Close above \$5.84 on vol >629% of 20d avg
Vol vs Avg: 6.29x



SBH

Sally Beauty Holdings, Inc. (Na

\$16.30

+8.88%

RS vs SPY: +16.2%

B STRONG SETUP

\$1.6B Cap | 94M Float

Specialty Retail | Theme: Beauty Retail | 52W Hi: 91% | Base Tight: 2.84 | Vol: 2.68x | RS/SPY: +16.2% | Above 20MA: YES | EARNINGS TODAY

SETUP METRICS	
Price	\$16.30
Day Change	+8.88%
Mkt Cap	\$1.56B
Float	94M sh
RS vs SPY	+16.2%
52W Hi Prox	91%
Base Tight	2.84
Vol vs Avg	2.68x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS

CATALYST / TODAY'S DRIVER

Q2 earnings reported today, driving an 8.9% move to 91% of 52-week highs on 2.68x volume. Forward catalyst: likely raised guidance or showed comp sales stabilization in beauty supply retail; next quarterly print in early November and holiday season sales trends (Sept-Dec) are key validation points for whether the turnaround can sustain.

BUSINESS & POSITION

Sally Beauty operates specialty beauty supply retail stores and e-commerce, selling hair color, cosmetics, and professional beauty products to consumers and salon professionals. The company is attempting a turnaround after years of same-store sales decline, focusing on digital transformation and product innovation.

FACTOR & THEME

Beauty category resilience (beauty spending is relatively recession-resistant), retail turnaround / omnichannel shift, and consumer discretionary recovery. Theme is mature and competitive - this is not a high-growth secular story, but a stabilization/margin-improvement play.

BREAKOUT SIGNAL

Close above \$16.30 on vol >268% of 20d avg

INSTITUTIONAL

Volume of 2.68x on earnings and move to 91% of 52-week highs suggest institutional interest, but RS line is NOT at new highs (rsLineNewHigh = false), which signals this is not a confirmed leader. RS vs SPY of +16.2 is modest - this is outperforming but not dramatically. The tight base (2.84) is a positive, indicating clean consolidation before the breakout. No insider buying in the last 60 days.

EARNINGS

EARNINGS TODAY

EARNINGS CONTEXT

Just reported Q2 today. Consensus estimates not yet available post-print, but the 8.9% move and proximity to 52-week highs suggest a beat or raised guidance. Sally Beauty has historically struggled with comp sales; if management can show stabilization or acceleration, the stock could re-rate further.

KEY RISK

Thesis invalid on a close back below \$14.50 (prior base high from mid-July), or if the company reveals comp sales deterioration or margin pressure at the next earnings call in November.

ANALYSIS

Best disconfirming evidence: RS line is NOT at new highs (rsLineNewHigh = false), and RS vs SPY of +16.2 is modest - this is not a true leader, just a relative outperformer in a recovering sector. Beauty retail is highly competitive and low-growth; Sally Beauty has been in turnaround mode for years with mixed results. However, the tight base (2.84), 2.68x volume on earnings, and proximity to 52-week highs (91%) suggest some institutional conviction in the turnaround thesis. Consumer Discretionary is a leading sector this week, adding tailwind. The forward catalyst path is clear: next earnings in ~13 weeks will validate whether comp sales can sustain. Missing RS line new high and modest RS keep this at a B. Conviction: Medium.

Signal: Close above \$16.30 on vol >268% of 20d avg

Vol vs Avg: 2.68x

